Microsoft (MSFT) | Earnings Update

1Q FY27 (calendar 3Q26, quarter ended 30 September 2026) | 29 October 2026 | Josh (Q&A: Trevor)

1 Executive snapshot

Post-call version - transcript read (two independent summaries of the 28 October call)

Consensus thesis. Investors own Microsoft as the capacity-constrained AI cloud whose 45%-plus Azure growth and $678bn commercial RPO justify capex above $50bn a quarter, funded from its own cash flow by a AAA balance sheet.

Thesis status: Intact. Two pillars confirmed (Azure, margins), two challenged (self-funding, backlog), one mixed (third-party capacity). None broken.

Versus expectations. Quarter: beat (revenue $92.3bn vs $90.72bn consensus, +1.7%; non-GAAP EPS $4.89 vs $4.72, +3.6%; Azure +48% vs a 44-45% guide). Outlook: above (2Q FY27 revenue guide $96.0-97.1bn vs about $95.6bn; Azure 49-50% cc vs about 47.6% expected).

Biggest changes

• Azure accelerated to 48% ($33.2bn, +$3.7bn QoQ) and is guided to 49-50% in 2Q, above the 46-47% buy-side bar, while management still says demand exceeds supply.

• Capex including finance leases was $45.2bn, about 11% below StreetAccount's $50.7bn and Microsoft's own 'over $50bn', because third-party (neocloud) capacity deliveries slipped. CY26 capex view cut to about $170bn from about $175bn.

• Microsoft is now a borrower: hours after Hood said debt markets were available but not yet tapped, it launched a 10-tranche, at-least-$25bn bond sale (first US high-grade deal since 2017), talked at T+50-55bp (2-year) to T+130-135bp (40-year).

• Backlog stalled: commercial RPO $677bn vs $678bn at 30 June; growth slowed to 73% from 84%; commercial bookings fell 12% (single source). OpenAI revenue was $10.0bn in the quarter (10.8% of revenue vs 7.3% in FY26).

• Leases not yet commenced rose $35.5bn in one quarter to $364.6bn (now FY27-FY34), and operating-lease additions jumped to $6.5bn from $1.4bn a year earlier, confirming the shift of future data center leases off reported capex.

Investor takeaway. The consensus view should hold and tilt up on Azure, but drop the 'self-funded' assumption: Microsoft is still compounding, yet its AI build is now financed with bonds and $364.6bn of uncommenced leases as well as cash, so credit quality stays very high but no longer improves.

What to monitor next quarter

• 2Q FY27 capex 'over $50bn' and whether delayed third-party capacity actually lands in 2H; any change to the CY26 $170bn view.

• Final size and pricing of the bond deal (settles 4 November) and whether Microsoft becomes a regular issuer like Alphabet (twice a year).

• Commercial RPO and bookings: does RPO resume growth from $677bn, and does OpenAI's share of revenue (10.8%) keep rising?

2 Key changes this quarter

Pillar	What the market assumed	What the quarter showed	Verdict	Source
P1 Azure acceleration	Azure beats 44-45% guide; buy side wants 46-47%	48% ($33.2bn); 2Q guide 49-50% cc; still supply-limited	Confirmed	Release; call
P2 Capex up, FCF positive, self-funded	Capex >$50bn/qtr, FCF positive without leverage	Capex $45.2bn (below plan); FCF $18.6bn; $25bn+ bond launched 29 Oct	Challenged	Release; 424B2; call
P3 Backlog quality	RPO >= $678bn; ex-OpenAI growth >= 25%	RPO $677bn (flat QoQ), +73% y/y; bookings -12%; OpenAI 10.8% of revenue; ex-OpenAI RPO not disclosed	Challenged	10-Q; call
P4 Margins absorb depreciation	Operating margin about 48.5%	49.8% (48.9% a year ago); 2Q guide 'down slightly' y/y	Confirmed	Release; call
P5 All capacity is used	Owned, leased and neocloud capacity all fill	Demand > supply confirmed; but third-party deliveries slipped and Microsoft simply spent less	Confirmed (third-party leg challenged)	Call

Emphasized more: Engineering efficiency across GPUs, CPUs, memory and storage as a source of Azure capacity; Foundry and token pricing; Maia and Cobalt chips; 24 new data centers; 'fungible fleet'; financing flexibility.

Emphasized less or dropped: Copilot seat numbers (no update, after 30mn paid seats in July); RPO excluding OpenAI (25% in July, not repeated in sources read); GW or MW added (never given).

KPIs more important: Capex including finance leases versus plan (now a delivery metric for neoclouds); leases not yet commenced; OpenAI revenue and receivable; debt outstanding. **Less important:** Book net cash as a signal of self-funding (it fell to $29.0bn and bonds will add gross debt).

Risks up: Funding: first new-money bonds since 2017. Counterparty: OpenAI receivable $7.2bn (from $6.0bn). Third-party delivery: neocloud slips cut capex by about $5bn. **Risks down:** Azure deceleration and margin compression: both receded this quarter.

→ *The equity story improved; the credit story changed from self-funded to externally funded at AAA prices.*

Analyst focus matrix (Trevor)

Topic	4Q FY26 (Jul)	1Q FY27 (Oct)	Trend
Capacity / supply vs demand	Thill (direct)	Keirstead (partial)	Persistent
Capex return / overcapacity	Moerdler, Borges (partial)	Wood (deflected)	Persistent
Capex funding / debt	-	Liani (partial)	New
Model mix / frontier labs (OpenAI)	Keirstead (partial)	Borges (deflected)	Persistent
Copilot monetization	Wood (direct)	Reback (partial); Liani (deflected)	Persistent
Margins	-	Thill (partial)	New
Enterprise vs AI-native demand	-	Moerdler (deflected)	New
Neocloud / third-party capacity	-	- (only in prepared remarks)	Not asked

Seven analysts asked questions on the 1Q call. Nobody asked about the third-party delivery slip, the $364.6bn of leases not yet commenced or the flat RPO, and the one funding question got 'leasing has been used, debt markets available, not yet tapped' - hours before a $25bn+ bond launch. Pre-emption: Hood addressed the capex shortfall in prepared remarks. Ratings are ours.

Trevor's watch-list

Analyst	Quarter	Question (trimmed)	Answer	Rating	Later evidence
Tal Liani, BofA	1Q FY27	How will you raise capital: debt, equity, other?	Leasing used; debt available but not yet tapped; FCF positive	Partial	$25bn+ bond launched next morning (424B2, 29 Oct)
Mark Moerdler, Bernstein	4Q FY26	How do you protect against overcapacity and rising component costs?	Short-lived assets, flexible DC timing, newer contracts priced higher	Partial	3/4 of 1Q capex short-lived; $6.7bn more cash used to secure components
Mark Moerdler, Bernstein	1Q FY27	Enterprise vs AI-native share of Azure AI?	Customer examples; decade-long build; selective on large-deal pricing	Deflected	OpenAI revenue rose to 10.8% of total

Trevor's watch-list: CK named no analysts. Tal Liani is added as the analyst who pressed on funding; Mark Moerdler as the one who pressed on overcapacity. Only two quarters of transcripts were read.

3 KPI dashboard

Metric	1Q FY27	4Q FY26	1Q FY26	QoQ / YoY	Trend
Revenue ($mn)	92,279	90,007	77,673	+2.5% / +18.8% [↑]	Accelerating
Agents and Infra revenue ($mn)	76,795	74,576	61,672	+3.0% / +24.5% [↑]	Steady
Azure revenue ($mn)	33,165	29,417	22,384	+12.7% / +48.2% [↑]	Accelerating
Azure growth y/y	48%	42% (restated)	40% (restated)	+6pp [↑]	Accelerating
Microsoft Cloud revenue ($bn)	63.9	59.3 (old basis)	n.a.	n.m. / +30% [↑]	Accelerating
Gross margin	67.8%	67.2%	69.0%	+0.6pp / -1.3pp [~]	Drifting down y/y
Operating margin	49.8%	45.1%	48.9%	+4.7pp / +0.9pp [↑]	Stable
Non-GAAP diluted EPS	$4.89	$4.74	$4.13	+3.2% / +18.4% [↑]	Up
Operating cash flow ($mn)	58,000	55,441	45,057	+4.6% / +28.7% [↑]	Up
Cash PP&E additions ($mn)	39,367	35,802	19,394	+10.0% / +103% [↓]	Rising
Capex incl. finance leases ($bn)	45.2	about 41.4	n.a.	+9% [?]	Below plan
Free cash flow ($mn, OCF - PP&E)	18,633	19,639	25,663	-5.1% / -27.4% [↓]	Falling
Commercial RPO ($bn)	677	678	about 391	-0.1% / +73% [~]	Stalled QoQ
OpenAI revenue ($bn)	10.0	n.a.	n.a.	10.8% of revenue [?]	Rising share
OpenAI receivable ($bn)	7.2	6.0	n.a.	+20% [↓]	Rising
Finance lease liabilities ($mn)	70,973	66,594	n.a.	+6.6% [↓]	Rising
Operating lease liabilities ($mn)	27,477	21,925	n.a.	+25.3% [↓]	Rising fast
Leases not yet commenced ($bn)	364.6	329.1	n.a.	+10.8% [↓]	Rising
Debt, book ($mn)	35,481	40,294	n.a.	-11.9% [↑]	Pre-bond low
Cash and ST investments ($mn)	64,509	76,843	n.a.	-16.1% [↓]	Falling
Book net cash ($mn)	29,028	36,549	n.a.	-20.6% [↓]	Falling
Diluted shares (mn)	7,446	7,443	7,466	flat / -0.3% [~]	Flat

Sources: 1Q FY27 8-K Ex.99.1 and 10-Q; 4Q FY26 8-K Ex.99.1; restated Azure from the 2 September 2026 8-K; capex incl. finance leases and Microsoft Cloud from the call. 1Q FY26 RPO is derived from +73% growth. For cost, lease, debt and capex lines [↓] means worse for shareholders.

4 Guidance analysis

Metric	2Q FY27 guidance	vs prior	vs consensus	Management explanation	Analyst read
Revenue	$96.0-97.1bn (+18-19%)	New	Above (~$95.6bn)	Azure and M365 strength	Beat-and-raise
Azure growth (cc)	49-50%	Up from 44-45% guide (48% actual)	Above (~47.6%)	Efficiency gains; Foundry allocation; token pricing; some supply moved to 2H	Depends on efficiency, not new supply
Agents and Infra revenue	$80.1-80.7bn (+24-25%)	New	n.a.		
Operating margin	Down slightly y/y (implied ~46.8%)	1Q was +0.9pp y/y	n.a.	Includes voluntary exit offer; depreciation	Margin held better than feared
Capex incl. finance leases	2Q over $50bn; CY26 about $170bn; 2H acceleration	CY26 cut from ~$175bn	1Q missed $50.7bn	Third-party capacity delays	Timing, not demand
Free cash flow	Positive in FY27	Maintained	1Q $18.6bn vs ~$8.5bn (single source)	Business strength	Part of the beat is timing
Funding	'Access additional sources when attractive'	New language	-	Leasing used; debt available	Bond launched 29 Oct

Underlying economic performance: stronger than expected on demand and margin; the capex miss is a supplier delivery problem, not a demand problem.

5 Strategic / moat evolution

Dimension	Condition	Direction	Key observations	Investment implication
Demand and distribution	Strong	Up	Azure 48%; enterprise plus AI-native; Foundry	Supports premium multiple
Capacity access (own + leased + third-party)	Constrained	Mixed	24 new DCs; dock-to-live -20%; neocloud slips	Own and leased builds gain share over neoclouds
Cost of capital	Best in class	Flat	AAA; T+50-135bp talk on first bonds since 2017	Can out-borrow every neocloud
Silicon and efficiency	Improving	Up	Maia 200 1.7x tokens/watt; Cobalt; Vera Rubin docked	Margin lever against depreciation
Lab dependence	Rising	Down	OpenAI 10.8% of revenue; $7.2bn receivable	Concentration risk in backlog

5-10 year view: Microsoft's moat is shifting from software distribution to cost of capital plus capacity. It can fund at AAA spreads what neoclouds fund at high-yield spreads, so when third-party capacity slips it loses a quarter of revenue at most, while the provider loses its contract economics.

6 Major risks and changes

Risk	Prior status	Current	Direction	Implication
Funding and leverage	Self-funded; no FY26 bonds	$25bn+ bond; net cash $29.0bn	Up	Regular issuance would widen AI-linked IG spreads
Third-party delivery	Loughton exit (press)	Delays cut 1Q capex ~$5bn	Up	Neocloud revenue timing at risk; Microsoft protected
Lab concentration (OpenAI)	7.3% of FY26 revenue	10.8%; receivable $7.2bn	Up	Backlog quality tied to one related party
Lease commitments	$329.1bn not commenced	$364.6bn; op-lease shift visible	Up	Debt-like obligations outside reported capex
Azure deceleration	Bar at 46-47%	48%, guide 49-50%	Down	Equity risk receded
Margin pressure from depreciation	Guide flat	49.8%; 2Q down slightly	Down	Manageable

Topic	Concern	Response	Evidence
Funding	Will capex force borrowing?	Hood: FCF positive in FY27; leasing used; debt 'available'.	Bond launched next day; FCF $18.6bn; net cash down $7.5bn QoQ. Concern validated, at AAA prices.
Backlog	Is RPO growth all OpenAI?	Not answered; Nadella prefers broad customer growth.	RPO flat QoQ; OpenAI revenue $10.0bn (10.8%). Concern unresolved.
Third-party capacity	Is Microsoft walking from neoclouds?	Hood: deliveries 'were delayed'; spend moves to 2H.	Capex $45.2bn vs $50.7bn; CRWV -5.8%, NBIS -6.3%, IREN -5.3% after hours. Delay, not exit, on the evidence.

7 Capital, funding and per-share impact

Item	1Q FY27	4Q FY26	Note
Operating cash flow	$58.0bn	$55.4bn	+28.7% y/y
Cash PP&E	$39.4bn	$35.8bn	Capex incl. finance leases $45.2bn (call)
FCF (OCF - PP&E)	$18.6bn	$19.6bn	Before $1.0bn finance-lease principal
Shareholder returns	$10.2bn	n.a.	Buybacks $4.4bn cash; dividends $6.8bn
Debt repaid	$4.85bn	n.a.	Book debt $35.5bn; face $41.3bn
Other investing (components)	-$12.9bn	n.a.	+$6.7bn y/y 'to facilitate the purchase of components'
Finance + operating lease liabilities	$98.5bn	$88.5bn	Plus $364.6bn not yet commenced
New bonds (29 Oct)	$25bn+ (10 tranches, 2-40 years)	-	Talk T+50-55bp to T+130-135bp; Aaa/AAA; settles 4 Nov

What the next dollar costs: about T+50bp at 2 years to T+135bp at 40 years (initial talk), the cheapest corporate credit in the market. Maturities in the next 24 months are small ($4.4bn in FY27, none in FY28). The new deal would raise face debt by about 61% on $41.3bn. Unreconciled: $39.4bn cash PP&E plus the $7.4bn finance-lease figure quoted on the call is $46.8bn, not $45.2bn; the 10-Q shows $5.2bn of finance-lease ROU

additions.

→ Per share: diluted shares flat at 7,446mn; buybacks ($4.4bn cash) now run below dividends, so per-share growth comes from earnings, not shrinkage.

8 Monitoring checklist

Five signals

1. 2Q capex lands above $50bn with third-party capacity delivered.
2. Final bond size and spreads; any second deal within six months.
3. Commercial RPO grows again from $677bn.
4. OpenAI revenue share and receivable.
5. Leases not yet commenced (now $364.6bn) and operating-lease additions.

Key risks building. Backlog concentration in OpenAI; lease and bond obligations rising faster than OCF; reliance on neocloud deliveries that keep slipping.
Confirmation signals. Azure at or above 49% with capex above $50bn; RPO growth excluding OpenAI restated at 25% or more; FCF positive each quarter of FY27.
Conviction tripwires. Azure below 46% in 2Q; RPO down two quarters in a row; a second large bond within two quarters without a matching rise in RPO; a rating outlook change.

Questions for owners (with whether they were asked on the call)

1. You said debt markets were available but 'not yet tapped' on 28 October and launched a $25bn+ deal on 29 October. Is this a one-off or the start of semi-annual issuance like Alphabet's? What leverage ceiling keeps you AAA?
Why it matters: Credit. Sets the end of self-funded AI capex. Asked (Liani); answered partially before the deal.
2. Leases not yet commenced rose $35.5bn to $364.6bn in one quarter. How much is conditional on power or construction milestones, and how much is operating rather than finance? Will you report capex plus new lease commitments each quarter?
Why it matters: Credit. Debt-like obligations now 5.1x finance lease liabilities. Not asked.
3. Third-party deliveries slipped enough to cut 1Q capex by about $5bn versus your plan. Which providers, how many MW, and do your contracts give you termination or step-in rights if 2H deliveries also slip?
Why it matters: Credit for neocloud lenders. Not asked.
4. Commercial RPO was $677bn, flat on June, and bookings fell 12%. What is RPO growth excluding OpenAI, and what share of RPO is OpenAI at 30 September?
Why it matters: Equity. Backlog quality. Not asked; not disclosed.
5. OpenAI revenue was $10.0bn (10.8% of revenue) and its receivable rose to $7.2bn. How much of OpenAI's commitment is prepaid or collateralized?
Why it matters: Equity and credit. Asked indirectly (Borges); deflected.
6. About three-quarters of capex went to short-lived assets and you used $6.7bn more cash to secure components. Will you change server useful lives, and what does a one-year change do to FY27 operating income?
Why it matters: Equity. GPU residual value. Not asked.

Read-across for Kona

Microsoft just showed who carries delivery risk: when third-party capacity slipped, it simply spent about $5bn less and kept growing Azure, while CoreWeave, Nebius and IREN fell 5-6% after hours. Kona should expect any hyperscaler-grade tenancy to pay only from delivery and to price its own schedule risk, so on-time power at Vaca Muerta is the product, and Kona should prefer selling power or hosting a GPU owner over owning GPUs against a delivery-gated contract. Microsoft also prefers leasing ($35.5bn of new uncommenced leases this quarter) and can borrow at AAA spreads, so a powered, lease-ready shell is easier to sell to it than GPU-as-a-service.

Sources: 1Q FY27 8-K Ex.99.1, 10-Q, 8-K item 8.01 and 424B2 (SEC EDGAR); 4Q FY26 release; 2 Sep 2026 8-K; call transcripts (Singju Post, TradingKey; Earnings Whispers for 4Q FY26); bond press (Yahoo/Investing.com, The Next Web); price (StockAnalysis, TradingKey). Full links in the Field Guide record.